

ECON 2ZZ3: Intermediate Microeconomics II

Summer 2026

Instructor Information

Instructor Name: Anastasios Papanastasiou

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Office hours: Posted on Avenue to Learn (A2L) and/or by appointment.

Course Information

Lectures: see Avenue to Learn (A2L)

Labs: No

Tutorials: No

Course Dates: 2026/06/29- 2026/08/14

Units: 3.0

Course Delivery Mode: Online, asynchronous lectures; in-person midterms and final exam.

Course Description: Firm and consumer behaviour in imperfectly competitive markets and the markets for factors of production; the role of taxes and subsidies; theory of exchange, welfare economics and general equilibrium analysis. May include other special topics.

Hours of Study: 3 hours of lecture each week.

Instructor-Specific Course Information

This course is a continuation of the microeconomic theory developed in ECON 2Z03. We begin with a review of the main results from consumer and producer theory in Econ 2Z03, as well as the standard monopoly model with uniform pricing. Our first step is to examine optimal pricing strategies when the monopolist can charge different prices to different groups of consumers. We then introduce a single competitor for the monopolist and work through the standard duopoly models of Cournot, Bertrand, and Stackelberg competition. These oligopoly models will serve as an introduction to the more general field of game theory.

We next introduce the notion of Nash Equilibrium as a solution concept for static games of perfect information. We then analyze basic dynamic games of complete information and refine the concept of Nash Equilibrium to eliminate solutions that are based on “non-credible threats”.

We then return to a competitive setting with multiple markets and review the definition of Pareto Efficiency. Our goal is to develop a mechanism for the allocation of resources that will lead to Pareto Efficient allocations. We show that under some ideal circumstances, the complex problem of finding Pareto Efficient allocations for an economy’s limited resources can be implemented with a “free-market” approach. The remainder of the course focuses on a discussion of violations of these ideal conditions and the implications for policy under the lens of efficiency and equity in allocation.

Meeting Details

The lectures will be delivered online, asynchronously. Each week, I will be posting lecture videos associated with the weekly topics (see weekly schedule below), as well as review questions on Avenue-to-Learn.

All examinations (two midterms and one final exam) will be written in-person on campus.

Important Links

- [Mosaic](#)
- [Avenue to Learn](#)
- [Student Accessibility Services - Accommodations](#)
- [McMaster University Library](#)
- [eReserves](#)

Course Learning Outcomes

By the end of this course, students are expected to be able to:

- identify the fundamental features of several market structures: monopoly, monopolistic competition, oligopoly
- use microeconomic theory to explain rational consumer behavior in situations of perfect and imperfect information
- describe under what assumptions unregulated markets lead to efficient allocations of goods; problems that arise when certain assumptions are not met; and mechanisms to ameliorate these problems

Materials and Fees

Pindyck, Robert S. and Daniel L. Rubinfeld, Microeconomics, 9th edition, published by Pearson/Prentice Hall, 2018. (required)

Textbook cost: \$102.95

Supplements: MyLab (Optional)

Course Evaluation

- Two Midterm Examinations (25% each, written on-campus)
- Final Examination - 50% (written on-campus)

Course Evaluation Details

The midterm dates are July 14 and July 28. Both midterms will be written on-campus, at T13 123, 7pm-8:30pm. Please see the course schedule below for coverage. The format of the midterms will be short-answer questions, and each midterm is worth 25% of the final grade.

The final exam will take place on August 13 on campus, 6pm-8:30pm. The format is short-answer questions, and the exam is cumulative and based on the entire course. The final exam is worth 50% of the final grade.

Grading Scale

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Grade	Equivalent Grade Point	Equivalent Percentages
A+	12	90-100
A	11	85-89
A-	10	80-84
B+	9	77-79
B	8	73-76
B-	7	70-72
C+	6	67-69
C	5	63-66

Grade	Equivalent Grade Point	Equivalent Percentages
C-	4	60-62
D+	3	57-59
D	2	53-56
D-	1	50-52
F	0	0-49

Course Schedule

Week 1 (June 29): Econ 2Z03 review: Consumer and Producer Theory, Perfect Competition and Monopoly (Chapters 3,4,6,8,10)

Week 2 (July 6): Pricing with Market Power (Chapter 11)

Week 3 (July 13): Oligopoly, Game Theory (Static Games) – (Ch. 12&13)

Midterm 1 – July 14, T13-123, 7pm-8:30pm (covers week 1 and 2 material)

Week 4 (July 20): Sequential Games, Intertemporal Choice (Ch. 13&15)

Week 5 (July 27) – General Equilibrium and Economic Efficiency (Ch. 16)

Midterm 2 – July 28, T13-123, 7pm-8:30pm (Covers weeks 1-4)

Week 6 (August 3) – Markets with Asymmetric Information, Externalities and Public Goods (Chapters 17 and 18)

Final Exam – August 13, T13-123, 6pm-8:30pm (based on the entire course).

Absences, Missed Work or Illness

Students that are unable to write a midterm due to illness or other reasons, must submit an MSAF for the missed work, and follow-up with the instructor. Once the MSAF has been approved, the weight of the missed exam will be shifted to the final examination. Since the midterms are worth 25% of the final grade, students have to submit an administrative MSAF. A link to the MSAF policy can be found [here](#).

Students who are unable to write the final exam must contact the Office of the Registrar to request a deferred final examination.

Turnitin.com

Some courses may use a web-based service (Turnitin.com) to reveal authenticity and ownership of student submitted work. For students using such software, students will be expected to submit their work electronically either directly to Turnitin.com or via an online learning platform (e.g. A2L, etc.) using plagiarism detection (a service supported by Turnitin.com) so it can be checked for academic dishonesty.

Students who do not wish their work to be submitted through the plagiarism detection software must inform the Instructor before the assignment is due. No penalty will be assigned to a student who does not submit work to the plagiarism detection software. All submitted work is subject to normal verification that standards of academic integrity have been upheld (e.g., on-line search, other software, etc.). For more details about McMaster's use of Turnitin.com please go to www.mcmaster.ca/academicintegrity.

Course Modification

The instructor and university reserve the right to modify elements of the course during the term. The university may change the dates and deadlines for any or all courses in extreme circumstances. If either type of modification becomes necessary, reasonable notice and communication with the students will be given with an explanation and the opportunity to comment on changes. It is the responsibility of the student to check their McMaster email and course websites weekly during the term and to note any changes.

Generative AI

Generative AI: Use Prohibited

Students are not permitted to use generative AI in this course. In alignment with [McMaster academic integrity policy](#), it "shall be an offence knowingly to ... submit academic work for assessment that was purchased or acquired from another source". This includes work created by generative AI tools. Also state in the policy is the following, "Contract Cheating is the act of "outsourcing of student work to third parties" (Lancaster & Clarke, 2016, p. 639) with or without payment." Using Generative AI tools is a form of contract cheating. Charges of academic dishonesty will be brought forward to the Office of Academic Integrity.

APPROVED ADVISORY STATEMENTS

Academic Integrity

You are expected to exhibit honesty and use ethical behaviour in all aspects of the learning process. Academic credentials you earn are rooted in principles of honesty and academic integrity. **It is your responsibility to understand what constitutes academic dishonesty.**

Academic dishonesty is to knowingly act or fail to act in a way that results or could result in unearned academic credit or advantage. This behaviour can result in serious consequences, e.g. the grade of zero on an assignment, loss of credit with a notation on the transcript (notation reads: "Grade of F assigned for academic dishonesty"), and/or suspension or expulsion from the university. For information on the various types of academic dishonesty please refer to the [Academic Integrity Policy](https://secretariat.mcmaster.ca/university-policies-proceduresguidelines/), located at <https://secretariat.mcmaster.ca/university-policies-proceduresguidelines/>

The following illustrates only three forms of academic dishonesty:

- plagiarism, e.g. the submission of work that is not one's own or for which other credit has been obtained.
- improper collaboration in group work.
- copying or using unauthorized aids in tests and examinations.

Authenticity / Plagiarism

Some courses may use a web-based service (Turnitin.com) to reveal authenticity and ownership of student submitted work. For courses using such software, students will be expected to submit their work electronically either directly to Turnitin.com or via an online learning platform (e.g. Avenue to Learn, etc.) using plagiarism detection (a service supported by Turnitin.com) so it can be checked for academic dishonesty.

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Email Communication

Effective September 1, 2010, it is the policy of the Faculty of Social Sciences that all e-mail communication sent from students to instructors (including Tasks), and from students to staff, must originate from the student's own McMaster University e-mail account. This policy protects confidentiality and confirms the identity of the student. It is the student's responsibility to ensure that communication is sent to the university from a McMaster account. If an instructor becomes aware that a communication has come from an alternate address, the instructor may not reply at his/her/their discretion.

Courses with an On-line Element

Some courses may use on-line elements (e.g. e-mail, Avenue to Learn, LearnLink, web pages, capa, Moodle, ThinkingCap, etc.). Students should be aware that, when they access the electronic components of a course using these elements, private information such as first and last names, usernames for the McMaster e-mail accounts, and program affiliation may become apparent to all other students in the same course. The available information is dependent on the technology used. Continuation in a course that uses on-line elements will be deemed consent to this disclosure. If you have any questions or concerns about such disclosure, please discuss this with the course instructor.

Online Proctoring

Some courses may use online proctoring software for tests and exams. This software may require students to turn on their video camera, present identification, monitor and record their computer activities, and/or lock/restrict their browser or other applications/software during tests or exams. This software may be required to be installed before the test/exam begins.

Conduct Expectations

As a McMaster student, you have the right to experience, and the responsibility to demonstrate, respectful and dignified interactions within all of our living, learning and working communities. These expectations are described in the [Code of Student Rights & Responsibilities](#) (the “Code”). All students share the responsibility of maintaining a positive environment for the academic and personal growth of all McMaster community members, **whether in person or online.**

It is essential that students be mindful of their interactions online, as the Code remains in effect in virtual learning environments. The Code applies to any interactions that adversely affect, disrupt, or interfere with reasonable participation in University activities. Student disruptions or behaviours that interfere with university functions on online platforms (e.g. use of Avenue 2 Learn, WebEx or Zoom for delivery), will be taken very seriously and will be investigated. Outcomes may include restriction or removal of the involved students’ access to these platforms.

Academic Accommodation of Students with Disabilities

Students with disabilities who require academic accommodation must contact [Student Accessibility Services](#) (SAS) at 905-525-9140 ext. 28 652 or sas@mcmaster.ca to make arrangements with a Program Coordinator. For further information, consult McMaster University’s [Academic Accommodation of Students with Disabilities](#) policy.

Requests for Relief for Missed Academic Term Work

In the event of an absence for medical or other reasons, students should review and follow the [Policy on Requests for Relief for Missed Academic Term Work](#).

Academic Accommodation for Religious, Indigenous, or Spiritual Observances (RISO)

Students requiring academic accommodation based on religious, indigenous or spiritual observances should follow the procedures set out in the [RISO](#) policy. Students should submit their request to their Faculty Office ***normally within 10 working days*** of the beginning of term in which they anticipate a need for accommodation or to the Registrar's Office prior to their examinations. Students should also contact their instructors as soon as possible to make alternative arrangements for classes, assignments, and tests.

Copyright and Recording

Students are advised that lectures, demonstrations, performances, and any other course material provided by an instructor include copyright protected works. The Copyright Act and copyright law protect every original literary, dramatic, musical and artistic work, **including lectures** by University instructors.

The recording of lectures, tutorials, or other methods of instruction may occur during a course. Recording may be done by either the instructor for the purpose of authorized distribution, or by a student for the purpose of personal study. Students should be aware that their voice and/or image may be recorded by others during the class. Please speak with the instructor if this is a concern for you.

Extreme Circumstances

The University reserves the right to change the dates and deadlines for any or all courses in extreme circumstances (e.g., severe weather, labour disruptions, etc.). Changes will be communicated through regular McMaster communication channels, such as McMaster Daily News, Avenue to Learn and/or McMaster email.